markets tend to ignore the caveats, and interpret the guidance as an irrevocable commitment, with the result that they find themselves wrong-footed when the actual outcomes do not turn out as expected. For example, in our policy reviews both in October and December 2011, we said that 'the cycle of rate inverses had peaked and further actions are likely to reverse the cycle'. This generated a widely shared expectation of a rate cut in the January 2012 policy meeting, an expectation that did not materialize because inflation had not trended down as earlier thought. Even though our 'inaction' was consistent with the guidance, the market was unforgiving and believed we had reneged on our commitment.

Moreover, it is when financial conditions are uncertain that markets want greater and more specific guidance, but paradoxically it is precisely when financial conditions are uncertain that central banks are least able to deliver. Let me cite an example to illustrate this dilemma. In our November 2010 policy statement, we said: 'Based purely on current growth and inflation trends, the Reserve Bank believes that the likelihood of further rate action in the immediate future is relatively low. However, in an uncertain world, we need to be prepared to respond appropriately to shocks that may emanate from either the global or the domestic environment.'

Our guidance was situated in the context of domestic uncertainty about agricultural prospects and their impact on growth and inflation, as well as external uncertainty arising from the eurozone sovereign debt crisis. Many analysts thought the guidance, especially alerting markets to possible rate action, should actual outcomes deviate from the expected ones, was helpful; a few, however, thought that it was too vague to be of any use.

Mixed experience with forward guidance has not been unique to India. Many advanced economy central banks, too, had come under criticism for what they said, how they said it and for their inability to honour the guidance. The Bank of England had said in 2013 that interest rates would not be raised until unemployment came down to below 7 per cent and added for good measure that that was not likely to happen until 2016. But unemployment in the UK dropped below 7 per cent as early as in 2014 even as the BoE was not ready to raise rates. Technically, the BoE had not